

Fixed costs in the industry	Medium
Exit barriers in the industry	High
Basis of competition in the industry	Competition based on performance

15. Revenue break-up for each team in IPL

- **Broadcasting rights (central pool)**
 - Star India bought rights for global broadcasting and digital rights of IPL for ₹16,347 crores for years 2018–22.
 - This translates to ₹ 3200 crores per season.
 - BCCI retains 60% of it and distributes the remaining 40% equally to each team. Each team gets approximately ₹ 160 crores each year from the central pool.
- **Ticket sales, food and beverages**
 - Teams earned ₹30 crores - ₹50 crores in 2018 for ticket sales, food and beverages during the home matches across the season.
- **Team Sponsorships**
 - Teams earned ₹30 crores - ₹50 crores in 2018 from team sponsorships. These sponsors are different from tournament sponsors.
- **Tournament Prizes**
 - IPL winner gets a prize of ₹20 crores . There are prizes to be won by each team that finishes in the top 4.
- **Team events broadcasting rights**
 - Team events such as Inside CSK and Ami KKR also sell their broadcasting rights separately. However, not all teams do this.

16. Expense break-up for each team in IPL

- **Player fee**
 - Total player fee for each season is capped and increased slightly for each year. In 2019 IPL, each team spent ₹82 crores for player fees.
- **Support staff, logistics, team management, marketing and admin costs**
 - Each team pays to their support staff, logistics, marketing and admin costs. These cost around ₹40–50 crores.
- **Franchise fees**
 - Each team needs to pay franchise fees to BCCI each year. This is now fixed at 20% of the total revenues earned by the team during the year.